

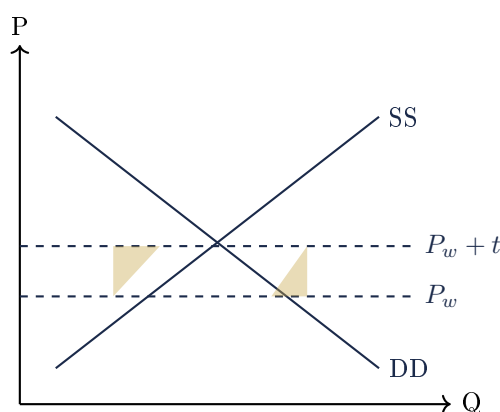
Document 22. Trade Policies & Protectionism

Topic overview. Despite the gains from trade, governments often restrict imports through tariffs, quotas, subsidies, voluntary export restraints, and non-tariff barriers. The 9570 demands a welfare-analysis comparison.

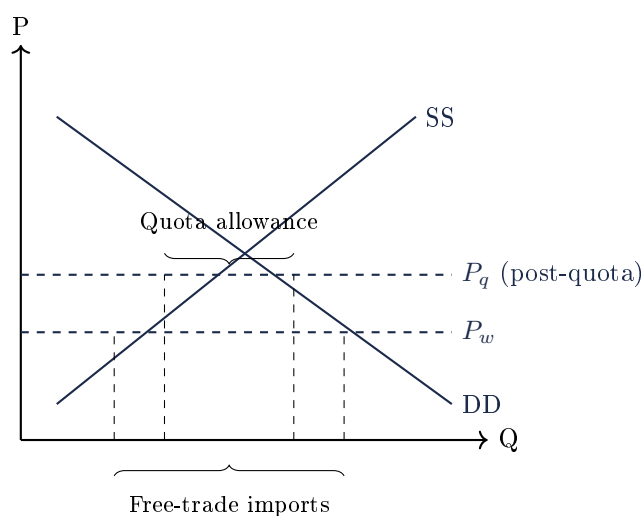
Section A. Instruments

Tariff		Tax on imports; raises domestic price.
Quota		Quantitative limit on imports.
Export subsidy		Per-unit payment to domestic exporters.
Voluntary Export Restraint (VER)		Bilateral agreement to limit exports.
Non-Tariff Barriers (NTBs)		Standards, licensing, customs delays.

Section B. Diagram — Tariff (small country)



Section B1. Diagram — Import Quota



Caption. A binding import quota raises domestic price from P_w to P_q . Domestic producers gain;

consumers lose; *quota rent* accrues to whoever holds the import licence (foreign exporters under VERs, or domestic licence-holders).

Section C. Welfare Effects of a Tariff (small country)

Step 1. Pre-tariff: domestic price = P_w ; consumption Q_C ; production Q_P ; imports $Q_C - Q_P$.

Step 2. Tariff raises domestic price to $P_w + t$.

Step 3. Domestic production rises to Q'_P (producer surplus rises); consumption falls to Q'_C (consumer surplus falls).

Step 4. Government earns tariff revenue = $t \times (Q'_C - Q'_P)$.

Step 5. Two **deadweight loss triangles**: production-side (resources misallocated to higher-cost domestic firms) + consumption-side (consumer welfare lost).

Section D. Arguments for Protectionism

Argument	Mechanism / Caveat
Infant industry	Temporary protection allows scale to emerge; risk of permanent dependence.
Anti-dumping	Counter unfair foreign price-cutting; needs evidence.
Strategic / national security	Defence, food, semiconductors. Vulnerable to capture.
Employment in declining industries	Buy time for restructuring; risks postponing the inevitable.
Sunset industries	Cushion exit; should be paired with retraining.
BOT correction	Reduces imports; risks retaliation.
Health / environment	NTBs based on standards.

Section E. Arguments against Protectionism

- Allocative inefficiency: resources misallocated to higher-cost producers.
- Higher consumer prices.
- Risk of retaliation → trade war.
- Reduced competitive discipline; X-inefficiency.
- Smaller variety and quality of goods.
- Rent-seeking and capture by protected industries.

Section F. Singapore's Stance

Singapore is a near-zero-tariff economy. Exceptions are very narrow (tobacco, alcohol, petroleum products, motor vehicles for excise reasons — not protection). Free trade is treated as a strategic necessity for survival.

Section G. Worked Example

Worked Example 1: Should Singapore impose tariffs to protect local firms during a downturn?

Singapore relies on imports for >90% of food, energy, raw materials. A tariff would raise SRAS costs and inflate prices for both consumers and downstream exporters. Retaliation from WTO partners is near-certain given FTA commitments. The welfare loss (two DWL triangles plus retaliation) dwarfs any short-run gain. *Alternative:* targeted training, R&D grants, and demand-side stimulus address the same goals with smaller distortions.